

User Manual: Costing Sheet in Dynamics 365 Finance & Operations (D365 F&O)

Comprehensive Guide to Understanding and Managing Costing Sheets

Contents

Introduction	1
Main Components of the Costing Sheet	2
Business Scenario - Create a Costing Sheet	9
Prerequisites.....	9
Step by step to create new costing sheet	9

Introduction

This user manual provides step-by-step instructions for working with the Costing Sheet functionality in Microsoft Dynamics 365 Finance & Operations (D365 F&O).

A costing sheet is the formatted display of information about the cost of goods that are sold for a manufactured item or a production order.

Setting up the costing sheet involves two tasks:

- Defining the format for displaying cost of goods sold information about a manufactured item or production order. The formatted display is termed a costing sheet.
- Defining the basis for calculating indirect costs. The costing sheet setup builds on the cost group feature for displaying information and for the indirect cost

calculation formulas. The two objectives of the costing sheet setup are described in this article.

Each level in the costing sheet consists of a node that is composed of totals and subtotals. The totals and subtotals are based on the cost group list. The three types of nodes are:

- Root nodes
- Parent nodes of the Price type
- Child nodes of the Cost group and Total types

A node of the Cost group type that is associated with an indirect cost group must be calculated.

When user selects a Cost group type as a node, user can add sub nodes such as Rate and Surcharges and then define surcharge percentages and rate amounts.

Main Components of the Costing Sheet

1. Cost group

Cost groups provide the basis for segmenting and analyzing cost contributions in a manufactured item's calculated cost, such as the cost contributions for material, labor, and overhead. Cost groups are used in the Costing sheet to create overhead allocation rules such as rates and surcharges.

A cost group can be assigned a cost group type. There are 4 cost group type in D365 F&O:

- Direct materials
- Direct manufacturing
- Direct outsourcing
- Indirect
- Undefined

Finance and Operations Cost management > Inventory accounting policies setup > Cost groups USMF

Standard view

Cost groups

Cost group: * Name:

General

Cost group type: Undefined (dropdown menu open showing: Undefined, Direct materials, Direct manufacturing, Indirect, Direct outsourcing)

Behavior: (dropdown menu)

Default: No

Profit percenta...: 0.00

Left sidebar items: M1 Electronic comp., M2 Cabinets comp., M3 Misc comp., M4 Chemicals, M9 Other Materials, OVH1 Transport overhead

➤ **Direct Material:**

Direct material cost groups are added to the released item under the "Manage costs" fast tab and will be the cost reference to this specific item.

Finance and Operations Preview Cost management > Inventory accounting policies setup > Cost groups USMF

Standard view

Cost groups

Cost group: M1 Name: Electronic comp.

General

Cost group type: Direct materials

Behavior: (dropdown menu)

Default: No

Profit

+ Add - Remove

Profit-setting: (radio button selected) Profit percenta...: 0.00

Standard: (radio button) Profit percenta...: 0.00

Left sidebar items: M1 Electronic comp., M2 Cabinets comp., M3 Misc comp., M4 Chemicals, M5 Steel comp., M9 No costing sheet

Finance and Operations Preview | Product information management > Products > Released products | USMF

Product | Purchase | Sell | Manage inventory | Engineer | Plan | Manage projects

Maintain: Apply template, Validate | New: Product, Template | Product master: Released product variants, Product dimensions | Languages: Translations | Dimension groups: Dimension groups, Reservation hierarchy, Counting reason code policy | Set up: Product attributes, Product categories, Product catalogs | Related products: Unit conversions, Advanced notes setup | Product kit: Configure, Kit configurations | Product m: Product r

Released product details | Standard view

RM-01 : Raw Material 01

Manage costs M1 | 0.00

POSTING Item group AudioRM	PRICE UPDATE Latest cost price ☐ No Date of price	Price 0.00 Price quantity 1.00	Charges quantity 0.00 Incl. in unit price ☐ No
COSTING Cost group M1 Use cost price by variant	PRICES Unit	CHARGES Price charges 0.00	ABC CLASSIFICATION Value None

➤ Direct manufacturing

Direct manufacturing cost group types link to "Cost categories," which have a "cost price" used as the rate for route operations—including setup time, process time, and quantity. Cost categories can also be assigned to workers.

Finance and Operations Preview | Cost management > Inventory accounting policies setup > Cost groups | USMF

Posting | Related items | **Related cost categories** | Related indirect cost nodes | Options

Standard view

Cost groups

Cost group	Name
L1	Packaging
L2	Assembly
L3	Polishing
L4	Q&A
L5	Cutting
L6	L6 - Welding

General

Cost group type	Behavior	Default
Direct manufacturing		☒ Yes

Profit

+ Add | Remove

☐ Profit-setting	Profit percenta...
☒ Standard	0.00

Note: Cost group assigned to cost category and the cost categories have a "cost price," which is the rate for calculating a cost. The rate can be for a routing operation's

setup time, process time, and quantity. It is possible to associate a worker with cost categories.

Finance and Operations Preview | Cost management > Inventory accounting policies setup > Cost groups

USMF

Category setup

Setup ▾ Transactions ▾ Project control ▾
Validation ▾ Committed costs ▾ **Price**
Function ▾ Forecast ▾

Packing
Packing

Usage
Use in Project
☐ No

Production

Category	Cost price	Worker
Packing	12.50	Cost group L1

Note: The cost categories are added to the setup tab when configuring the route. Also configuration can be done, under Operation fast tab of Resource as well as Resource group form.

Finance and Operations Preview | Production control > All routes

USMF

Route

Route details : 000004 | 000004 : Speaker cabinet - D0002

Standard view

Oper. No.	Priority	Operation	Name	Scrap percenta...	Accumulated	Next	Link type
10	Primary	Polishing	Cabinet polishing	0.00	1.00	20	
20	Primary	Assembly	Speaker assembly	0.00	1.00	30	

+ New Delete Applicable resources Maintain resource requirements

Overview General **Setup** Times Resource load Resource requirements Description

CONSUMPTION CALCULATION **COST CATEGORIES**

Formula
Standard

Factor
1.00

Costing resource
1111

Setup
Run
Polishing
Quantity

➤ **Direct outsourcing**

Direct outsourcing cost groups are added to the product type of service. This will make it possible to classify costs associated with the service purchase to subcontracting.

Finance and Operations Preview | Cost management > Inventory accounting policies setup > Cost groups | USMF

Standard view ▾

Cost groups

Cost group	Name
C1	Costing

General

Cost group type	Behavior	Default
Direct outsourcing		☒ Yes

Profit

+ Add - Remove

	Profit percenta...
☐ Profit-setting	
☒ Standard	0.00

➤ Indirect

An **Indirect** cost group can be assigned to indirect costs for surcharges or rates.

Finance and Operations Preview | Cost management > Inventory accounting policies setup > Cost groups | USMF

Standard view ▾

Cost groups

Cost group	Name
OVH1	Transport overhead

General

Cost group type	Behavior	Default
Indirect		☐ No

Profit

+ Add - Remove

	Profit percenta...
☐ Profit-setting	
☒ Standard	0.00

There are four sub node types available for indirect cost in costing sheet:

1. Surcharge – Calculate a percentage of the cost from an absorption basis of cost for a production order. The cost group should be linked to the material or time components in the cost sheet. The subtype for surcharge can be either "Level," "Sublevel," or "Total." Depending on the level, the surcharge percentage should be applied to (the single-level cost (Level), the total costs (Total), or Sublevel costs (Sublevel)).
2. Rate – A fixed amount of cost for a production order. It can be linked to the costing sheet's material or time component. The fixed amount will be added to the production order based on, e.g., the run time in the route for the labor cost group. The subtype can be set to either "Process – run time in the route," "Setup – the setup time in the route," or "Quantity – the quantity that is produced."
3. Output unit based – Calculated by multiplying the amount specified on the "Rate" fast tab by the selected enum in the subtype. The subtype can be either the quantity, weight, or volume of the finished good, which will be used to multiply with the configured Rate.
4. Input unit based – Calculated by multiplying the amount of raw materials consumed on the production order by a Rate. The subtype can be either "Weight" or "Volume" for the input on the production order. Limiting the calculation to a subset of materials is possible by selecting one or more cost groups in the "absorption basis" fast tab.

➤ **Undefined**

A cost group that is designated as undefined can be assigned to items, cost categories, or indirect costs.

2. Calculation group

To define calculation groups, Go to Cost management > Predetermined cost policies set up > Calculation groups.

By assigning calculation groups to items, user can specify how a cost/sales price of a BOM component is calculated.

Business Scenario - Create a Costing Sheet

The finance team and production planners must create a detailed costing sheet in D365 to estimate the total manufacturing cost. This costing will drive pricing strategy, budgeting, and inventory valuation.

The costing sheet in D365 will include three primary cost segments:

- **Material costs:** Three types of material component should be available i.e. Electronic, Chemicals and Misc.
- **Labour costs:** Direct labour hours and rates related to production route i.e. Packaging and Assembly.
- **Overhead costs:** It should include depreciation of machinery based on FG output and Surcharge should be calculated total Raw material consumed.

Prerequisites

1. Create Cost groups

Cost group	Name	Cost group type
DM-01	Direct Material - Electronic	Direct materials
DM-02	Direct Material - Chemicals	Direct materials
DM-03	Direct Material - Misc	Direct materials
L-01	Packaging	Direct manufacturing
L-02	Assembly	Direct manufacturing
OV-01	Depreciation	Indirect
OV-02	Surcharge	Indirect

Step by step to create new costing sheet

Create Cost of goods manufactured segment:

1. Select Root node and Click New.
2. In Node type field, select an option i.e. **Price**
3. In the Code and Description field, type a value.
4. In the Type field, select an option i.e. **“Cost of goods manufactured”**.

5. Select Yes in the Header field.
6. Select Yes in the Total field.
7. Click Save.

Finance and Operations Preview | Cost management > Indirect cost accounting policies setup > Costing sheets | USSI

Standard view

Costing sheet setup

Root

Cost of goods manufactured - Cost of Conversion

COC-Material

Edit

IDENTIFICATION

Node type

Price

Code

Cost of goods manufactured

Description

Cost of Conversion

SETUP

Type

Cost of goods manufactured

Header

Yes

Total

Yes

Create Direct Material header and child segment

8. In the tree, select 'Root\Cost of goods manufactured - Cost of Conversion' and Click New.
9. In the Select node type field i.e. **"Total"**
10. In the Code field, type a value.
11. Click OK.
12. Select Yes in the Header field.
13. Select Yes in the Total field.

Finance and Operations Preview

Cost management > Indirect cost accounting policies setup > Costing sheets

USSI

Standard view

Costing sheet setup

Edit

IDENTIFICATION

Node type
Total

Code
COC-Material

Description

SETUP

Header
☒ Yes

Total
☒ Yes

14. To create child node for Direct material - Electronic, In the tree, select 'Root\Cost of goods manufactured - Cost of Conversion\COC-Material' and Click New.
15. In the Select node type field, i.e. **“Cost group”**.
16. In the Code field, type a value.
17. In the Description field, type a value.
18. Click OK.
19. In the Cost group field, select cost group created for Electronic i.e. **“DM-01 - Direct Material – Electronic”**.

Finance and Operations Preview

Cost management > Indirect cost accounting policies setup > Costing sheets

USSI

Standard view

Costing sheet setup

Edit

IDENTIFICATION

Node type
Cost group

Code
DM01

Description
Electronic

SETUP

Cost group
DM-01

Cost group type
Direct materials

Behavior

20. Repeat step 14 to 19 to create child node for Direct material – Chemical and Misc.

Finance and Operations Preview

Cost management > Indirect cost accounting policies setup > Costing sheets

USSI

Standard view

Costing sheet setup

← Save + New Delete Validate Options

- Root
 - Cost of goods manufactured - Cost of Conversion
 - COC-Material
 - DM01 - Electronic
 - DM02 - Chemicals**
 - DM03 - Misc

Edit	
IDENTIFICATION	SETUP
Node type Cost group	Cost group DM-02
Code DM02	Cost group type Direct materials
Description Chemicals	Behavior

Create Direct Manufacturing or Labor header and child segment

21. In the tree, select 'Root\Cost of goods manufactured - Cost of Conversion and click on New
22. In the Select node type field, select an option i.e. **Total**.
23. In the Code field, type a value.
24. Click OK.
25. Select Yes in the Header field.
26. Select Yes in the Total field.

Finance and Operations Preview | Cost management > Indirect cost accounting policies setup > Costing sheets | USS1

Standard view ▾
Costing sheet setup

Edit

IDENTIFICATION	SETUP
Node type Total	Header ☒ Yes
Code COC-Labor	Total ☒ Yes
Description 	

27. In the tree, select 'Root\Cost of goods manufactured - Cost of Conversion\ COC-Labor and Click New.
28. In the Select node type field, select an option i.e. **Cost group**.
29. In the Code field, type a value.
30. In the Description field, type a value.
31. Click OK.
32. In the Cost group field, enter or select a value for Packaging i.e. **L-01 - Packaging**.

Finance and Operations Preview | Cost management > Indirect cost accounting policies setup > Costing sheets | USS1

Standard view ▾
Costing sheet setup

Edit

IDENTIFICATION	SETUP
Node type Cost group	Cost group L-01
Code L01	Cost group type Direct manufacturing
Description Packaging	Behavior

33. Repeat step 27 to 32 to create additional node for Labor i.e. **L-01 - Assembly**.

Finance and Operations Preview Cost management > Indirect cost accounting policies setup > Costing sheets USSI

Standard view

Costing sheet setup

Cost of goods manufactured - Cost of Conversion

COC-Material

DM01 - Electronic

DM02 - Chemicals

DM03 - Misc

COC-Labor

L01 - Packaging

L02 - Assembly

Edit

IDENTIFICATION		SETUP	
Node type	Cost group	Cost group	L-02
Code	L02	Cost group type	Direct manufacturing
Description	Assembly	Behavior	

Create Indirect cost/ Overhead header and child segment – Add depreciation of machinery based on FG output

34. In the tree, select 'Root\Cost of goods manufactured - Cost of Conversion' and Click New.
35. In the Select node type field, i.e. **Total**.
36. In the Code field, type a value.
37. Click OK.
38. Select Yes in the Header field.
39. Select Yes in the Total field.

Finance and Operations Preview

USSI

The costing sheet is OK.

Save New Delete Validate Options

Standard view

Costing sheet setup

Edit

IDENTIFICATION	SETUP
Node type Total	Header ☒ Yes
Code Overheads	Total ☒ Yes
Description 	

Root

- Cost of goods manufactured - Cost of Co
 - COC-Material
 - COC-Labor
 - L01 - Packaging
 - L02 - Assembly
 - Overheads
 - OV01 - Plant overhead
 - Machine depreciation

40. In the tree, select 'Root\Cost of goods manufactured - Cost of Conversion\Overheads' and Click New.
41. In the Select Node Type field, select an option i.e. Cost group.
42. In the Code field, type a value.
43. Click OK.
44. In the Cost group field, enter or select a value i.e. **OV-01 - Depreciation**.
45. Click Save.

Finance and Operations Preview

USSI

The costing sheet is OK.

Save New Delete Validate Options

Standard view

Costing sheet setup

Edit

IDENTIFICATION	Code	SETUP
Node type Cost group	OV01	Cost group OV-01
Cost group	Description Plant overhead	Cost group type Indirect
		Behavior

Root

- Cost of goods manufactured - Cost of Co
 - COC-Material
 - COC-Labor
 - L01 - Packaging
 - L02 - Assembly
 - Overheads
 - OV01 - Plant overhead
 - Machine depreciation

46. In the tree, select 'Root\Cost of goods manufactured - Cost of Conversion\Overheads\OV01-Plan overhead' and Click New.
47. In the Select node type field, select an option i.e. **Output unit based**.
48. In the Code field, type a value.
49. Click OK.
50. Select Yes in the Per item field.
51. In the Subtype field, select an option i.e. **Quantity**.

Finance and Operations Preview

USSI

The costing sheet is OK.

Standard view

Costing sheet setup

General

IDENTIFICATION	SETUP
Node type Output unit based	Subtype Quantity
Code Machine depreciation	Per item ☒ Yes
Description 	

52. Expand the **Rate** section.
53. In the list, mark the selected row.
54. In the Version field, enter or select a value.
55. In the list, click the link in the selected row.
56. In the Site field, enter or select a value.
57. In the list, click the link in the selected row.
58. **In the Amount field, enter a number.**
59. Click Save.
60. Click Activate.

Finance and Operations Preview

USSI

Standard view

Costing sheet setup

No basis can be configured for output unit based indirect costs.

Rate

+ New Delete Activate

Status	Version	Version name	Site	Va...	Rel...	Amount	From date	Block
☐ Current active	FY24-3PL	2024 Standar...	MainOffi...	All		1.00	1/7/2026	✓

Root

- Cost of goods manufactured - Cost of Co
 - COC-Material
 - COC-Labor
 - L01 - Packaging
 - L02 - Assembly
 - Overheads
 - OV01 - Plant overhead
 - Machine depreciation

61. Expand the Ledger postings section and define ledger accounts.
62. Expand the Financial dimensions section and define value.
63. Click Save.

Finance and Operations Preview

USSI

Standard view

Costing sheet setup

Ledger postings

ACCOUNTS - PHYSICAL	ACCOUNTS - FINANCIAL
Estimated indirect cost absorbed 600510	Indirect cost absorbed 600510
Estimated cost of indirect cost consum... 150250	Cost of indirect cost consumed, WIP 150250

Financial dimensions

Options

DEFAULT FINANCIAL DIMENSIONS

BusinessUnit
No default

Department

Root

- Cost of goods manufactured - Cost of Co
 - COC-Material
 - COC-Labor
 - L01 - Packaging
 - L02 - Assembly
 - Overheads
 - OV01 - Plant overhead
 - Machine depreciation

Create Indirect cost/ Overhead header and child segment – Add Surcharge 2% on Total material consumed

64. In the tree, select 'Root\Cost of goods manufactured - Cost of Conversion\Overheads' and Click New.
65. In the Select node type field, select an option i.e. **Cost group**.
66. In the Code field, type a value.
67. Click OK.
68. In the Cost group field, enter or select a value i.e. **OV-02 – Surcharge**.

The screenshot shows the 'Costing sheet setup' dialog box in SAP. The left pane displays a tree structure with the following nodes: Root, Cost of goods manufactured - Cost of Conversion, COC-Material, COC-Labor, L01 - Packaging, L02 - Assembly, Overheads, OV01 - Plant overhead, Machine depreciation, and OV02 - Material Overhead (selected). The right pane shows the 'Edit' form with the following fields: Node type (Cost group), Cost group (OV-02), Code (OV02 - Material Overhead), Cost group type (Indirect), Description, and Behavior. The 'Node type' and 'Cost group' fields are highlighted with red boxes.

69. In the tree, select 'Root\Cost of goods manufactured - Cost of Conversion\Overheads\OV02 – Material Overhead' and Click New.
70. In the Select node type field, select an option i.e. **Surcharge**.
71. In the Code field, type a value.
72. Click OK.
73. In the Subtype field, select an option i.e. **Total**.
74. Select Yes in the Per item field.
75. Expand Absorption basis section and in Code field select Cost of Material node on which surcharge should be calculated.
76. Select Subtype should be **Total**.

Finance and Operations Preview

USSI

Standard view

Costing sheet setup

General

IDENTIFICATION

Node type
Surcharge

Code
Internal logistics

Description

SETUP

Subtype
Total

Per item
☒ Yes

Absorption basis

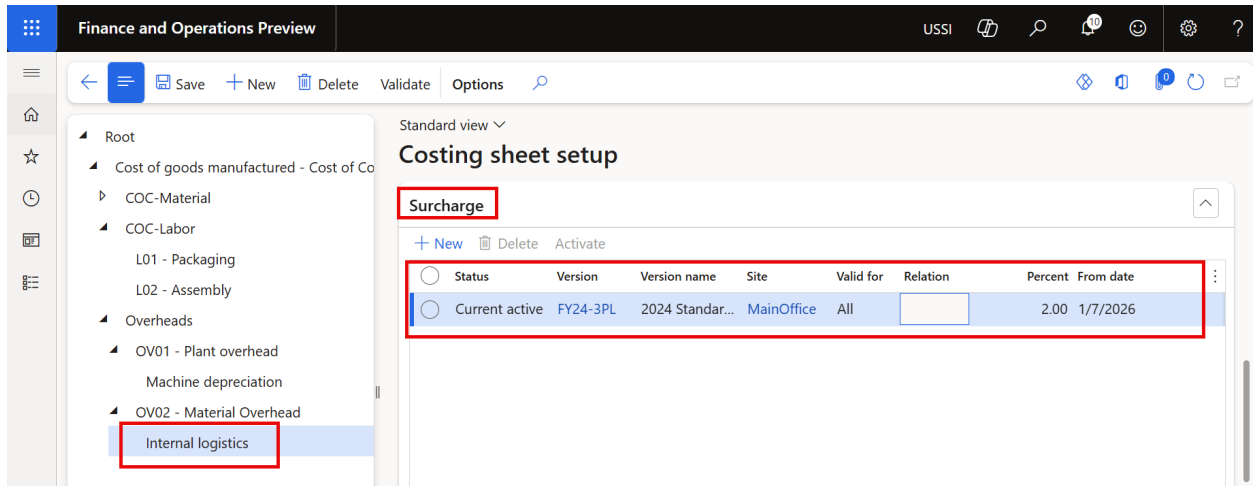
+ New Delete

Code	Subtype
COC-Material	Total

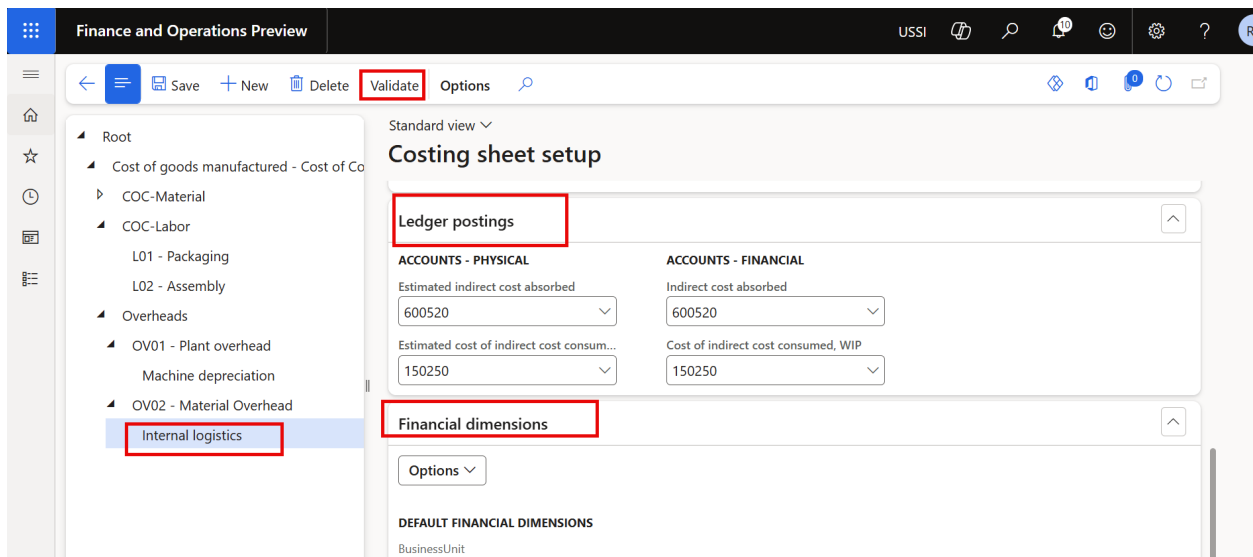
Root

- Cost of goods manufactured - Cost of Co
 - COC-Material
 - L01 - Packaging
 - L02 - Assembly
 - COC-Labor
 - OV01 - Plant overhead
 - Machine depreciation
 - OV02 - Material Overhead
 - Internal logistics

77. Expand the Surcharge section.
78. In the list, mark the selected row.
79. In the Version field, enter or select a value.
80. In the list, click the link in the selected row.
81. In the Site field, enter or select a value.
82. In the list, click the link in the selected row.
83. In the Percent field, enter a number.
84. Click Save.
85. Click Activate.



86. Expand the Ledger postings section and define ledger accounts.
87. Expand the Financial dimensions section and define value.
88. Click Save.
89. Click Validate.



Note: After completing cost sheet set up, run BOM calculation and validate cost.